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LIFE ASSURANCE REPORT

FOR THE YEAR ENDED 31 DECEMBER 2019



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This report relates to Life assurance business and funeral assurance business written by life assurers.

Please Note: All Monetary Figures are in ZWL\$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD\$ were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 201



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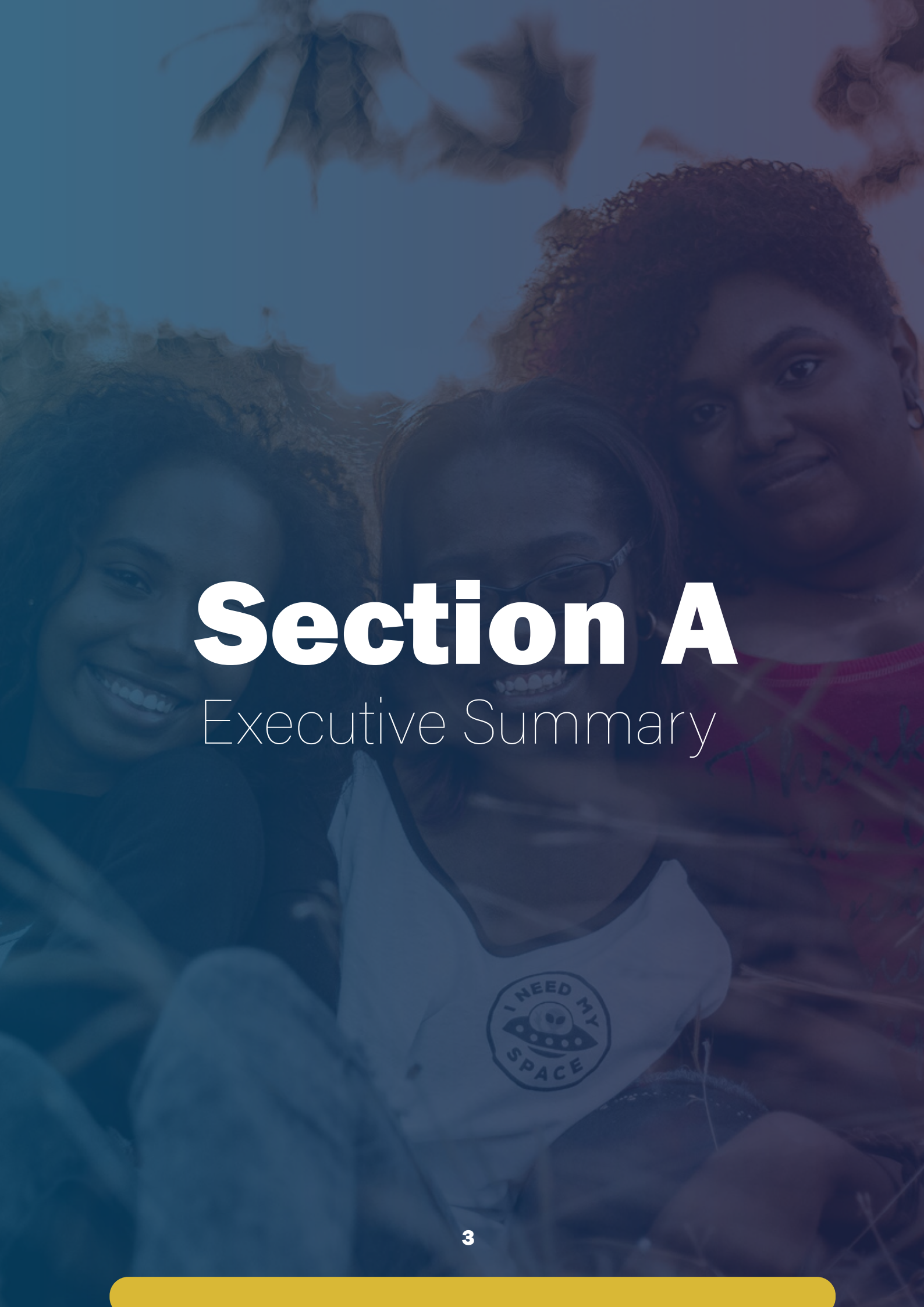
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Definition of Terms

GPW	Gross Premium Written
NPW	Net Premium Written
GPI	Gross Premium Income
IPEC/Commission	Insurance & Pensions Commission
Q3	Third Quarter
Q4	Fourth Quarter
Prescribed Assets	Prescribed Securities as defined by Insurance Act [Chapter 24:07]
Dec 18	December 2018
Sept 19	September 2019
Dec 19	December 2019

A photograph of three young women smiling and looking towards the camera. They are outdoors, with some foliage visible in the background. The image is covered with a semi-transparent blue overlay. The woman on the left is smiling broadly, showing her teeth. The woman in the center is wearing glasses and a white t-shirt with a circular logo that says "I NEED MY SPACE" around a stylized alien face. The woman on the right is also smiling. The text "Section A" is written in large, bold, white letters, and "Executive Summary" is written in smaller, white letters below it.

Section A

Executive Summary

1. Executive Summary



1.1 For the financial year ended 31 December 2019, the life assurance industry consisted of 12 direct life assurers, 5 Life reinsurance companies, 44 corporate agents and 1143 individual agents.

1.2 Total GPW written by the life assurance sector amounted to ZWL\$946.01 million in 2019 compared to ZWL\$426.05 million in 2018, which is a significant increase of 122%.

1.3 Life reinsurers wrote GPW of ZWL\$22.1 million for the year ended 31 December 2019, indicating a growth of 143% from ZWL\$9.1 million reported for the comparative period in 2018.

1.4 The increase in gross premium written was mainly due to significant increases in premiums for the whole range of life assurance products as a result of exchange rate driven inflation.

1.5 Profit after tax for the life assurance sector for the fiscal year ended 31 December 2019 was ZWL\$9.4 billion, a significant increase of 769% from ZWL\$1.08 billion reported for the year ended 31 December 2018.

1.6 The reinsurance industry recorded net profit after tax of ZWL12.2 million for the year ended 31 December 2019 representing an increase of 522% from ZWL\$2 million reported for the year ended 31 December 2018.

1.7 The increase in profit after tax for both the life assurance industry and the life reinsurance industry is mainly attributable to high investment returns from revaluation gains on equity investments.

1.8 Total assets held by life assurance companies increased by 26.99% as at 31 December 2019 from ZWL\$10.77 billion as compared to ZWL\$13.67 billion reported as at 30 September 2019. For reinsurance players total assets increased by 101% from ZWL\$94.9 million as at 30 September 2019 compared to ZWL\$190.8 million as at 31 December 2019.

1.9 Total liabilities as a percentage of total assets were 82% as at December 31, 2019 the life assurance industry and capital and reserves (equity) accounted for 18% of total assets.

1.10 Average Prescribed assets ratios for the life assurance and life reinsurance industries as at 31 December stood at 10.44% and 8.54% respectively. The two industries were not compliant with the required minimum prescribed asset ratio of 15% as stipulated in Statutory Instrument 206 of 2019.

1.11 As at 31 December 2019, 11 of the 12 registered life assurers and 4 of the 5 life reinsurers were compliant with the

prescribed minimum capital requirements.

1.12 The capital positions were however based on unaudited returns hence players are advised to always hold adequate capital so as to increase their resilience to shocks and ensure the protection of policyholders.

1.13 The Commission is currently finalizing a new Statutory Instrument to give regulatory effect to the new minimum capital levels that were pronounced by the Minister of Finance and Economic Development Professor Mthuli Ncube in his 2020 National Budget pronounced in November 2019.

1.14 The Commission has asked the life industry to do self-assessments and submit their compliance plans if their capital levels fall below the new minimum required capital.

1.15 For the financial year ended 31 December 2019, the life assurance industry reported total net claims of ZWL\$486 million which is an increase of 168% from ZWL\$181.9 million reported for the year ended 31 December 2018.

1.16 Life reassurers reported claims amounting to ZWL\$4.8 million for the year ended 31 December 2019, an increase of 69% from ZWL\$2.9 million reported for the year ended 31 December 2018.

1.17 Total costs for the life assurance industry increased by 158% from ZWL\$301 million reported for the year ended 31 December 2018 to ZWL\$776 million for the year ended 31 December 2019.

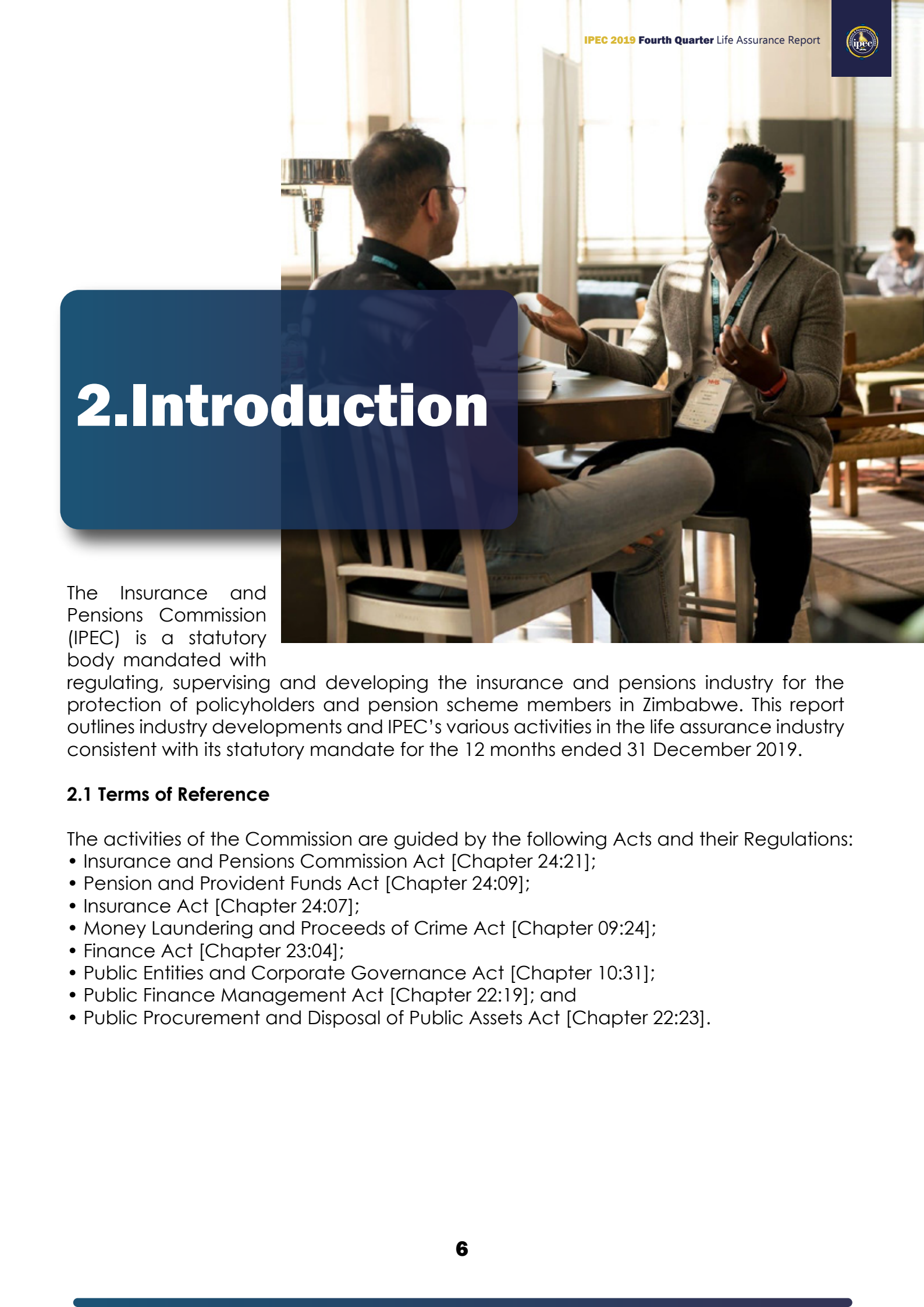
1.18 The Commission urges players to continue to be compliant with all the regulatory requirements to avoid regulatory sanctions. Players should also be vigilant in coming up with new innovative products to remain relevant as the needs of customers change.



1.19 Table 1 below shows the financial indicators for the life assurance industry.

Table 1: Financial indicators for the Life Assurance Industry

Financial Aspect	Life Assurers			Life Reinsurers		
	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth
GPW (\$000)	426,050	946,017	122%	9,116	22,164	143%
NPW (\$000)	426,053	946,016	122%	8,008	15,714	96%
Net claims (\$000)	181,857	486,529	168%	2,871	4,848	69%
Management expenses	100,063	250,175	150%	1,741	5,545	218%
Commissions (\$000)	19,108	39,374	106%	2,240	3,633	62%
Total costs (\$000)	301,028	776,078	158%	6,852	14,026	105%
Profit after tax (\$000)	1081977	9,400,759	769%	1,962	12,196	522%
	Sep-19	Dec-19	Growth	Sep-19	Dec-19	Growth
Total Assets (\$000)	10,766,683	13,672,084	27%	94,885	190,793	101%
Total Liabilities (\$000)	9,207,476	11,166,773	21%	47,889	87,334	82%
Capital (\$000)	641,346	2,505,098	291%	46,996	103,459	46,996
Capital to liability ratio	7%	22%	15%	98%	118%	20%
Prescribed assets (\$000)	1,438,789	13,672,117	850%	1397	16301	1067%



2. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the life assurance industry consistent with its statutory mandate for the 12 months ended 31 December 2019.

2.1 Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

3. Economic Developments

3.1 World Economic Growth Rates

Global economic growth is projected to have grown by 3% in 2019. Global economic growth prospects continue to be subject to downside risks such as trade barriers emanating from trade wars between the biggest economies of USA and China, geopolitical tensions such as Brexit and slowed productivity and other trade restrictions. While more advanced economies are projected to have grown by 1.7% in 2019, Sub-Saharan Africa region is projected to grow by 3.2%. The following table summarises global economic growth developments and prospects for selected regions and countries

Table 2: Global Economic Growth & Outlook (%)

	2018	2019 Projections	2020 Projections
Global Output	3.6	3.0	3.4
Advanced Economies	2.3	1.7	1.7
USA	2.9	2.4	2.1
Euro Area	1.9	1.2	1.4
Japan	0.8	0.9	0.5
Emerging Market & Developing Economies	4.5	3.9	4.6
China	6.6	6.1	5.8
India	6.8	6.1	7.0
Sub-Saharan Africa	3.2	3.2	3.6
SADC	3.2	2.6	3.6
South Africa	0.8	0.7	1.1
Zimbabwe*	3.4	-6.5	3.0

Source: IMF World Economic Outlook, *Ministry of Finance and Economic Development and RBZ projections

3.2 Sub-Saharan Africa

Across Sub-Saharan Africa, growth is estimated to improve from 3.2% in 2019 to 3.6% in 2020. The major sources of economic obstacles in developing economies continue to be climate-induced challenges such as droughts, cyclones and floods. Recovery in commodity prices such as oil is expected to support growth prospects in oil producing countries.

3.3 Domestic Economy Outlook

The country's economy is estimated to have contracted by -6.5% in 2019, with prospects for growth of 3.0% in 2020. The negative growth was mostly on account of climate change induced challenges such as the 2018/19 drought related food insecurity, depressed electricity generation, negative impact of Cyclone Idai and macroeconomic challenges which included foreign currency supply bottlenecks, currency devaluation and inflationary spikes. In response to the macroeconomic and climate induced challenges, most sectors of the economy recorded negative growth rates in 2019.

Regardless of the challenges militating against growth efforts, month-on-month inflation slowed down during the second half of the year closing the year at 16.6% as at December 2019. The slowdown in inflation was on account of adoption of a mono-currency regime in conjunction with corrective measures in the foreign exchange market.

3.4 Currency Reforms

2019 marked the restoration of the monetary policy following the re-introduction of a mono-currency regime. The currency journey map from 2009 is as shown in Figure 1 below

Figure 1: Currency Journey Map



3.5 Exchange Rate Developments

During the period under review, exchange rate fluctuations continued to sway the pricing of goods and services in the economy. Volatility in the foreign exchange market continued to weigh down the capacity of industry players to meet contractual obligations and meet reasonable policyholder and fund member expectations thereby undermining confidence in the sector.

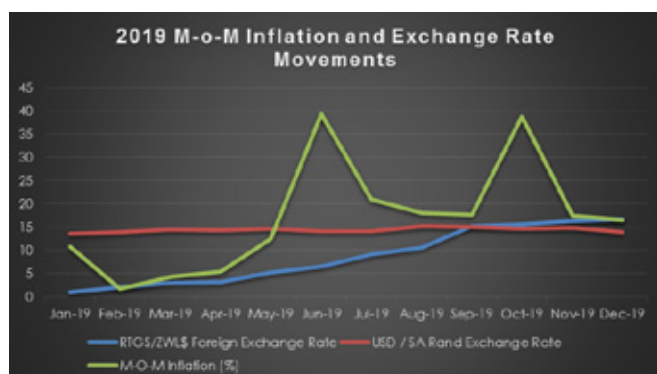
Table 3 below illustrates trends in the exchange rate and month-on-month inflation during the period under review.

Table 3: 2019 Exchange Rate and Month-on-Month Inflation Movements

Month	RTGS / ZWL\$ Foreign Exchange Interbank Market Rate*	USD/South African Rand **	Month on Month Inflation*
January 2019	1	13.38	10.75%
February 2019	2.50	13.94	1.67%
March 2019	3.01	14.57	4.38%
April 2019	3.26	14.35	5.52%
May 2019	5.26	14.81	12.54%
June 2019	6.62	14.14	39.26%
July 2019	9.19	14.14	21%
August 2019	10.71	15.33	18.10%
September 2019	15.19	15.14	17.70%
October 2019	15.67	14.63	38.75%
November 2019	16.31	14.94	17.46%
December 2019	16.77	14.04	16.55%

Figure 2 below illustrates trends in the exchange rates and month on month inflation during the period under review.

Figure 2: Exchange Rate and Month-on-Month Inflation Trends



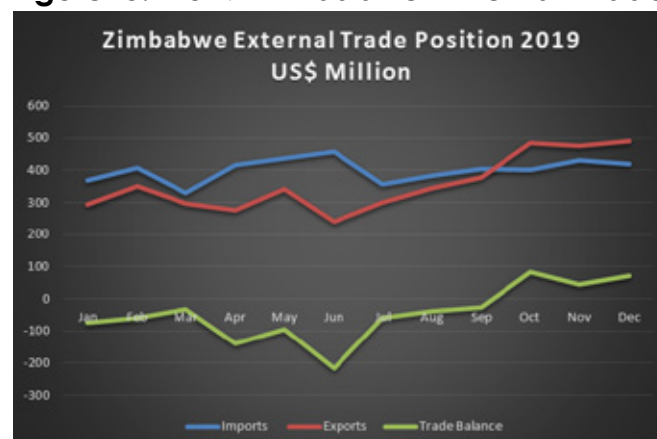
Source: RBZ; *Zimstat and ** www.marketwatch.co.zw

6 Trends in Month-on-Month Inflation

As shown in Table 3 and Figure 2 above, month-on-month inflation spiked in June 2019 and October 2019, stabilising between August and September and November and December 2019 due to fiscal discipline by treasury and monetary interventions. Despite the spikes, the inflation rate slowed down towards the end of 2019 on account of fiscal discipline, exchange rate stabilisation measures by the RBZ and stability in the external trade balance.

Figure 3 below shows the 2019 external trade balance for Zimbabwe.

Figure 3: 2019 Zimbabwe External Trade



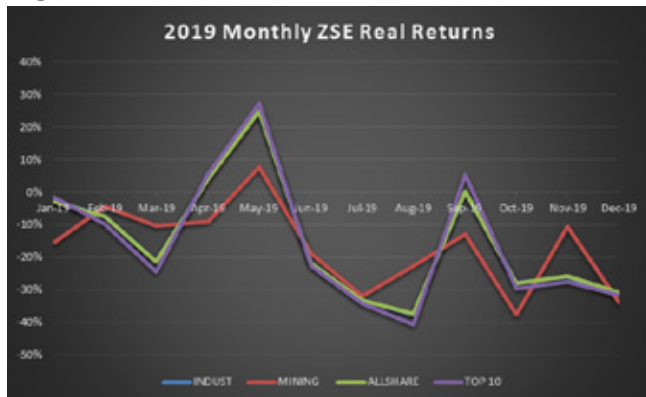
Source: www.equityaxis.net

3.7 Performance of the Zimbabwe Stock Exchange (ZSE)

During the period January to December 2019, the ZSE witnessed negative real returns on all counters albeit a generally bullish trend. The introduction of currency reforms was characterised by disinvestments by some foreign investors. The performance of the ZSE during the year is depicted in Figure 4 on the next page.



Figure 4: Performance of Zimbabwe Stock



Source: Zimbabwe Stock Exchange

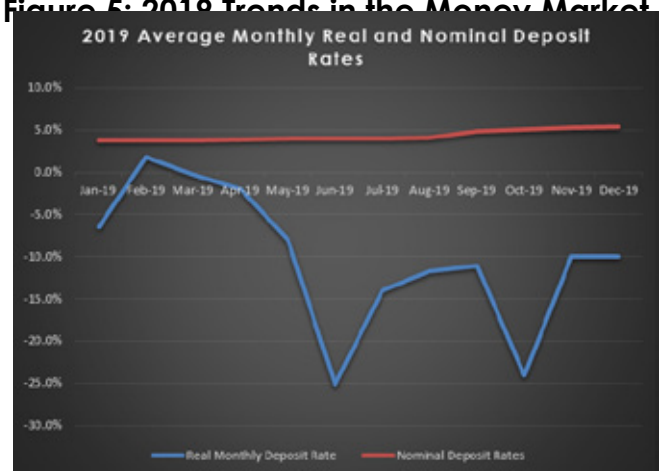
Equities are generally regarded as value preserving instruments ahead of money market instruments. However, the real returns on the ZSE were mainly on the negative side during the year thereby weighing down investment appetite. In this regard, ZSE institutional investors, the bulk of whom are insurance companies and pension funds had negative returns from such investments.

3.8 Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit interest rates continued to be flat during the year. Although the market remained in the negative, there were slight improvements during the three months of July, August and September before taking a dip in October 2019. The market showed signs of stability during November and December albeit the negative real returns. The signs of stability in the money market could have been on

Reserve Bank of Zimbabwe that included the sharp increase of minimum lending rates from 10-15% to 50%.

Figure 5: 2019 Trends in the Money Market



Source: Reserve Bank of Zimbabwe

3.9 Trends in Real Estate Market

Performance in the real sector continues to be depressed owing to perceived uncertainties related to currency changes and currency instability. Resultantly, most sellers are withholding their property as a precautionary measure.

Notwithstanding that, income adjustments lag behind inflation rates. Property owners continue to either hike their rentals to cushion themselves against inflationary pressures or now prefer holders of free funds as tenants. This trend has resulted in low occupancy as tenants either relocate to cheaper places or down-scale office space.

4. Highlights of the Commission's Regulatory Activities



During the year under review, the following activities and programs were undertaken by the Insurance and Pensions Commission

policyholders to enable them to make informed decisions.

4.1 Complaints Resolution Report

During the last quarter of 2019, the Commission handled 23 complaints, of which 14 were resolved and nine (9) were related to low value benefit pay-outs. The complaints classified as suspended relate to low values of benefits owing to currency conversion from the Zimbabwe dollar to the United States dollar in 2009. The table below shows the nature of complaints received.

Table 4: Complaints

Nature of complaints	Number of complaints	% total
Low value benefits pay-outs	9	39%
Unilateral increments of premiums	5	22%
USD denominated policies	2	9%
Delay in settlement claims	3	13%
Non-payment of benefits	4	17%
Total	23	100%

Most cases that were resolved were to do with alleged non-payment of benefits. However, the insurers provided proof of payments. The other resolved cases were to do with alleged unilateral increment of premiums particularly for life assurers offering funeral business. The life assurers gave policyholders available options to either continue with the policies with reduced benefits or to terminate the same. However, the Commission underscored the need for life assurers to provide adequate information to

In relation to complaints about the treatment of USD-denominated policies, the Commission was guided by the provisions of the statutory instruments, which gave effect to the return of the Zimbabwe dollar.

On complaints relating to low value pay-outs, Government through the 2020 National Budget Statement announced that it would finalise amendments to insurance and pension legislation, which will guide and enable enforcement of the compensation process. Hence these complaints were suspended.

4.2 Post-Commission of Inquiry Reforms and Compensation Framework

The Commission continued with the implementation of the recommendations of the Justice Smith-led Commission of Enquiry especially capacitating the Commission and guiding the sector.

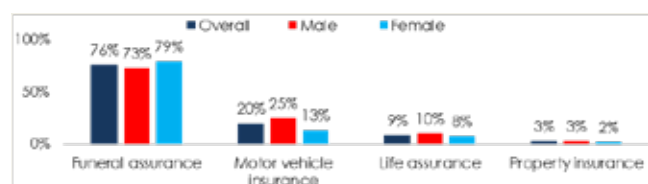
4.3 Insurance Awareness and Uptake

The Commission undertook a survey on insurance awareness during the last quarter of 2019. According to the survey, about 71% of Zimbabweans know about insurance while only 34% have some form of formal insurance. However, of the

insured Zimbabweans, 76% have

assurance, followed by motor vehicle insurance at 20%. The major sources of insurance awareness are television, radio and family (see figure 6 below).

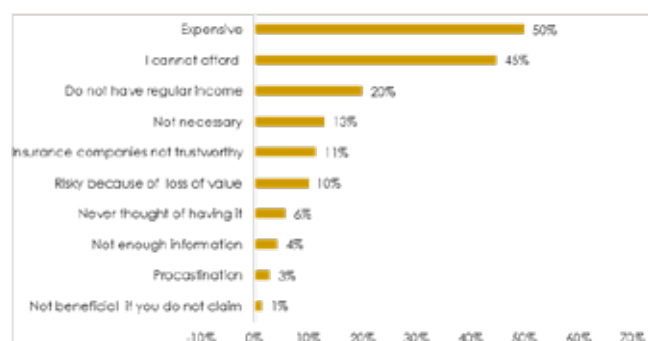
Figure 6: Insurance uptake



4.4 Barriers to getting insurance

According to the survey, key barriers to insurance uptake relate to affordability as depicted in the figure below: -

Figure 7: Barriers to Insurance Uptake



4.5 Customer Satisfaction Index

According to the survey, the overall customer satisfaction index for 2019 based on customer experience, ability to pay claims, paying claims on time and reasonable premiums stood at 55%. This was based on policyholders who had claimed before.

4.6 Guidance Paper on Currency Reforms and Revaluation Gains

Following the recent currency reforms, the Commission issued a Guidance Paper on Currency Reforms and Revaluation Gains to guide the apportionment of revaluation gains between policyholders and shareholders. The Guidance Paper

was issued ahead of the gazetting of the relevant Statutory Instrument by the Minister of Finance and Economic Development for industry players to prepare. The Guidance Paper is aimed at guiding the industry

4.7 Zimbabwe Integrated Capital and Solvency Programme (ZICARP)

The ZICARP project is in progress with the consultants now finalising the Quantitative Impact Study (QIS). Pillar 3 of the project relating to Disclosure Guidelines has been finalised and the Guidelines have now been issued to the industry.

4.8 Implementation of International Financial Reporting Standard (IFRS) 17

Since the standards were held in abeyance pending further guidance from the Public Accountants and Auditors Board (PAAB), the Commission shall update the industry of any further developments.

4.9 Financial Inclusion Initiatives

The National Financial Inclusion Strategy (2016 – 2020) is coming to an end in December 2020. For IPEC, milestones in the insurance and pension industry include:

- Development of a micro insurance regulatory framework.
- Registration of micro insurance players and microinsurance products for both microinsurers and conventional insurers.
- IPEC working towards the development of weather index-based insurance regulatory framework. The process will start with a mapping study of weather indexed-based insurance products, index insurance capacity building for IPEC staff followed by the development of a regulatory framework for weather indexed insurance.

The Commission also undertook Consumer Education Programmes in the form of radio and televised educational programmes, exhibitions, workshops and roadshows. Use of digital and social media platforms was also adopted to educate the public about insurance matters, training of journalists on insurance reporting to capacitate journalists so that they can report objectively, as well participating in the Global Money Week commemorations.

4.10 Anti-Money Laundering and Combating of Financing of Terrorism (AML/CFT)

The 2019 National Risk Assessment Report has been finalised. The Assessment indicates that the insurance and pension industry is generally a low risk area in terms of money laundering. The results of the National Risk Assessment were incorporated into the NRA Report which is due to be launched by Government any time soon.



A photograph of a woman in a rural setting, smiling broadly. She is wearing a patterned headscarf and a dark sweater over a polka-dot shirt. In the background, there is a green field with a person working and a blue sky with clouds. The entire image is covered with a semi-transparent blue overlay.

Section B

Life Assurance Business

5. Life Assurance Industry structure

Life Assurance Business

This section covers various aspects of life insurers' operations which include business composition by company, business composition by product, market share by premium income, key cost drivers for the industry, industry asset base, capital and solvency issues and any other key risks facing the industry.

5 Life Assurance Industry structure

5.1 As at 31 December 2019 the life assurance industry was comprised of twelve (12) direct life insurers, five (5) life reinsurers and 1167 insurance agents.

5.2 Agents for the industry can be further divided into 24 corporate agents and 1143 individual agents.

5.3 The composition of the insurance industry is illustrated in Table 5 below.

Table 5: Architecture of Insurance Sector

Class of Business	Registered Entities as at 31 Dec. 2019	Registered Entities as at 31 Dec. 2018
Life Assurance	12	11
Life Reinsurers	5	5
Agents	1167	1479
Total	1,084	1,495

5.4 The number of agents for the life assurance sector decreased by 336 agents from 1479 as at 31 December 2018 to 1143 as at 31 December 2019.

5.5 The decrease is attributable to

non-renewal of licences as well as voluntary and involuntary cancellation of licenses by agents.

5.6 There were no new life insurers or life reinsurers licences issued during the period for the year ended 31 December 2019.

5.7 The Commission is concerned that it continues to experience issues of non-compliance by all the regulated entities. These cases were mainly concerned with late submission of prescribed quarterly return.

6 Performance in-terms of Business Written

6.1 For the year ended 31 December 2019 Gross premiums written (GPW) for the Life Assurance industry in nominal terms increased by 122 percent, from ZWL\$426.10 million reported for the year ended 31 December 2018 to ZWL\$946.02 million.

6.2 The increase in GPW is attributable to the increase in premiums for life assurance products as a result of the exchange rate induced inflation which characterised the economy for the greater part of 2019.

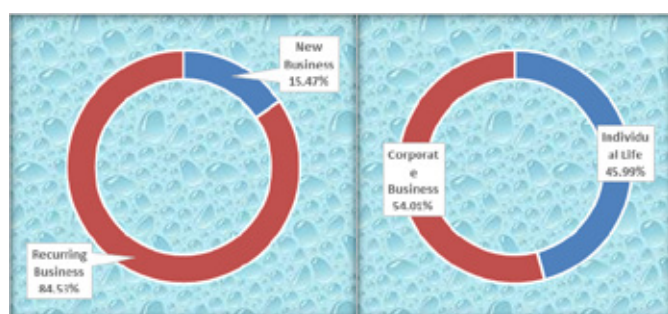
6.3 In terms of business composition by source, recurring business constituted 84.53 percent of total GPW while new business

constituted the remaining 15.47%. This indicates that the life assurance industry continues to rely more on recurring business which increases the industry's GPW persistence rate.

6.4 In terms of business composition by line of business corporate business constituted 54.01% of total GPW while individual life constituted 45.99% of total GPW.

6.5 Figure 8 below shows GPW composition by source and by line of business.

Figure 8: GPW Composition



GPW composition by product

6.6 For the year ended 31 December 2019, the life assurance industry GPW was mainly composed of two classes which are funeral assurance and fund business, contributing about 48% and 37% of the total GPW respectively (see figure 9 on the next page).

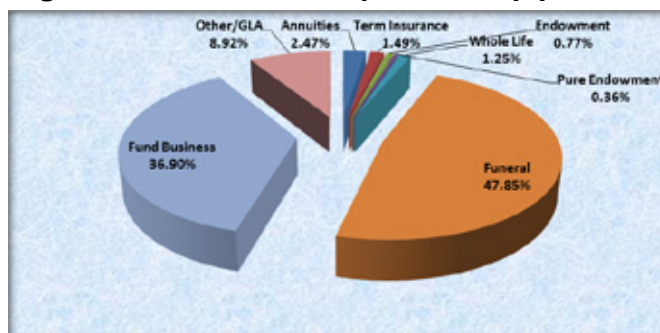
6.7 Funeral assurance business continues to be a dominant driver of GPW for the life assurance industry.

6.8 As tastes and preferences of consumers continue to change, the Commission encourages industry players to develop products that meet the changing needs of their customers.

6.9 The products should be able to preserve value considering the depressed economic environment currently being experienced in the country.

6.10 Figure 9 below shows the breakdown of business composition by product for the period under review.

Figure 9: Business composition by product



GPW Breakdown per Company

6.11 Growth in GPW ranged from 5.52% to 279.54% for the year ended 31 December 2019 as compared to the year ended 31 December 2018. (See table 6 on the next page). Of these growth rates, 3 institutions recorded growth rates above 100%.

6.12 In monetary terms the largest growth in GPW came from Old Mutual, with a GPW increase of \$159.82 million.

6.13 Growth in GPW was mainly driven by significant increase in premiums which were in turn mainly driven by general increases in price levels in the economy for the year 2019.

Table 6: GPW breakdown by Company

Name Of Company	Dec 2018 (000)		Dec 2019 (000)		Growth
	GPW	NPW	GPW	NPW	
CBZ Life	11,097	10,756	13,861	13,455	24.91%
Doves	-	-	52,949	52,949	0%
Econet Life	19,284	18,318	73,191	72,066	279.54%
Evolution Health and Life	666	662	1,282	1,278	92.49%
Fidelity Life	15,030	14,714	22,794	21,355	51.66%
First Mutual Life	43,454	42,986	64,475	63,893	48.38%
Nhaka Life	2,144	2,122	2,345	2,289	9.38%
Heritage Life	851	841	898	891	5.52%
Nyaradzo Life	108,398	108,398	287,951	287,951	165.64%
Old Mutual Life	184,902	182,223	344,723	338,308	86.44%
ZB Life	13,750	13,037	21,939	20,927	59.56%
Zimnat Life	26,477	25,691	59,608	59,608	125.13%
Total	426,053	419,748	946,016	934,970	122.04%

Lapsed policies and Not taken up (NTU) policies

6.14 Lapse ratios generally provide an indication of the difficulties faced by policyholders in maintaining active policies

due to shrinking disposable incomes and/or mis-selling of policies by assurance companies.

6.15 For the year ended 31 December 2019, the life assurance industry reported a lapse ratio of 7.67%, compared to 8.27% that was reported for the year ended 31 December 2018.

6.16 During the year ending 31 December 2019, there were 10,901 policies that were not taken up with premium amounting to ZWL\$2.1 million.

6.17 Life assurance industry players are encouraged to train their sales staff and provide more information to clients at policy initiation stage to reduce not-taken-up and lapsed policies.

Commission as and when their capital position falls below the minimum required capital with a clear re-capitalisation road map.

7.3 Adequate capital is critical for life assurance companies as it helps them in managing risk and helps cushion their balance sheets in times of high claims experience and depressed markets.

Table 7: Industry Capital positions

Company	Capital Position Trend	
	2018 Q4	2019 Q4
CBZ	21,192	106,337
Doves**	0	51,705
Econet	23,812	79,928
Evolution	3,175	49,203
Fidelity	2,955	5,917
First Mutual	76,643	818,410
Getsure	5,265	11,271
Heritage	706	1,047
Nyaradzo	19,426	61,509
Old Mutual	442,474	949,027
ZB	17,320	253,396
Zimnat	28,378	117,348
Total	641,346	2,505,098



7 Capitalisation

7.1 As at 31 December 2019, 11 out of 12 registered and operating life assurance players reported capitalisation levels that were above the minimum required capital level of \$5 million as required in Statutory Instrument 95 of 2017 as shown in Table 7 below.

7.2 Life assurance players are required to do periodic capital assessment to check their capital adequacy and report to the

7.4 The monetization of the RTGS dollar as the mono-currency for Zimbabwe in June 2019 resulted in the minimum capital requirements of \$5 million previously set in United States dollars being inadequate as the local unit depreciated rapidly against the United States dollar.

7.5 The above scenario resulted in the Commission reviewing minimum capital requirement which were then announced by the Minister of Finance and Economic Development in his maiden 2019 Budget Statement.

7.6 In the new capital requirements life assurers are required to maintain a minimum capital of \$75 million.

7.7 Life assurance players are required to put in place robust re-capitalisation road maps that will enable them to meet the new capital requirement of \$75 million as and when the enabling regulations are enacted.

8 Asset Quality

8.1 As at 31 December 2019, total assets for the life assurance industry stood at ZWL\$13.7 billion, a growth of 27% as compared to ZWL\$10.8 billion reported as at 30 September 2019.

8.2 The Growth in life assurance industry players' asset base is mainly attributable to an increase in fixed property by \$1.86 billion and equities by \$0.53 billion.

8.3 The Increase in fixed property was mainly driven by property revaluations which were done by life assurance players in response to the depreciation of the local currency against the United States dollar.

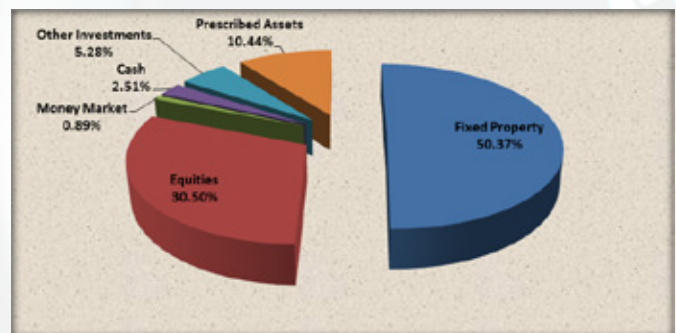
8.4 On the other hand, the increase in equity values was due to fair value adjustments of stocks on the Zimbabwe stock exchange.

8.5 The assets of the life assurance industry are concentrated in the above-mentioned asset classes which constituted 80.87% (broken down into fixed property 50.37% and Equity investments 30.50%).

8.6 The remaining 19.13% of the industry total assets was in prescribed assets, money market investments, cash and other assets

8.7 Figure 10 below shows the breakdown of the life assurance industry assets as at 31 December 2019.

Figure 10: Industry Asset split



8.8 Life assurance Industry players should hold their investments in assets that have liquidity profiles that are in line with their liability profiles to avoid asset-liability mismatch.

8.9 The Commission implores players to be prudent in structuring their investment portfolios and to also make sure that the portfolios are in line with the requirements of Circular 3 of 2013 on investment guidelines.

Prescribed asset status

8.10 Statutory Instrument 206 of 2019 requires life assurance industry players to hold at least 15% of their adjusted assets in prescribed assets.

8.11 As at 31 December 2019 the life assurance industry with an average

prescribed asset ratio of 10.44% was not compliant with the required minimum prescribed asset ratio.

8.12 Prescribed asset ratios for industry players ranged from 0.02% to 13.78%, indicating that all players were not compliant with the required minimum prescribed asset ratio.

8.13 The total amount invested by the industry in prescribed assets was ZWL\$1.4 billion against total assets of ZWL\$13.7 billion, resulting in a required additional minimum investment of \$0.66 billion for industry players to be compliant.

8.14 Table 8 below shows the life assurance industry players prescribed asset ratios.
Table 8: Life Insurers Prescribed Asset Ratio Status

Insurer	Prescribed asset	Total assets	Prescribed asset ratio	Total Amount required to be compliant	Variance in compliance%
	Investments				
CBZ Life	4,280,478	117,567,410	3.64%	17,635,111	-11.4%
Doves Life	19,733	69,060,378	0.03%	10,359,057	-15.0%
Econet Life	5,446,727	111,168,529	4.90%	16,675,279	-10.1%
Evolution Health & Life	99,844	50,432,267	0.20%	7,564,840	-14.8%
Fidelity Life Assurance	15,369,764	221,916,594	6.93%	33,287,489	-8.1%
First Mutual Life	14,107,221	1,844,152,079	0.76%	276,622,812	-14.2%
Getsure Life Assurance	440,000	13,262,883	3.32%	1,989,432	-11.7%
Heritage Life	150,000	1,584,173	9.47%	237,626	-5.5%
Nyaradzo Life Assurance	5,600,707	262,438,014	2.13%	39,365,702	-12.9%
Old Mutual Life Assurance	1,370,342,946	9,943,031,183	13.78%	1,491,454,677	-1.2%
ZB Life Assurance	3,881,389	520,263,023	0.75%	78,039,453	-14.3%
Zimnat Life Assurance	7,986,723	517,240,475	1.54%	77,586,071	-13.5%
Total	1,427,725,532	13,672,117,008	10.44%	2,050,817,551	-4.6%

life

9 Reassurance

9.1 For the year ended 31 December 2019, the life assurance industry had a retention ratio of 98.02% which amounts to retention of premium amounting to \$927.29 million.

9.2 The low reinsurance ratio of 1.98% can be partly explained by the fact that a significant portion of the industry's GPW was derived from fund business and funeral assurance business which are not usually reassured.

9.3 In respect of fund business, the assurer carries no risk and therefore reinsurance is not required.



10 Actuarial Matters

10.1 The Commission continues to encourage players to periodically review their reserving policies to make sure that they are in line with their claims experience.

10.2 As at 31 December 2019, assets of the industry were adequate to cover technical liabilities leaving an excess in assets of ZWL\$4 billion.

10.3 Technical liabilities for the life assurance industry amounted to ZWL\$9.7 billion and were supported by assets amounting to ZWL\$13.7 billion.

10.4 Future policyholder benefits amounted to ZWL\$9.4 billion and continued to be the main component of technical liabilities, while unearned premium reserve, outstanding claims reserve and incurred but not reported claims reserve constituted the remainder of the liabilities.



11 Costs and Earnings

11.1 For the financial year ended 31 December 2019, total costs for the life assurance industry grew by 158% from ZWL\$301 million reported for the year ended 31 December 2018 to ZWL\$776 million.

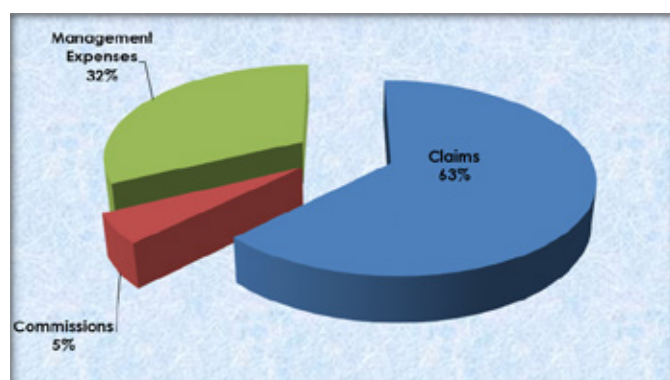
11.2 Management expenses accounted for ZWL\$250 million which is 32.22% of

total costs for the year ended 31 December 2019 compared to ZWL\$100 million for the same period in 2018.

11.3 The industry reported a combined ratio of 83% for the year ended 31 December 2019 as compared to 72% for the year ended 2018. This shows a decrease in industry technical profitability by 11%.

11.4 Incurred claims for the year ended 31 December 2019 accounted for 63% of the total costs, whilst the commission and management expenses accounted for 5% and 32% respectively (See Figure 11 below).

Figure 11: Costs breakdown



11.5 The Commission implores life assurance industry players to be prudent in managing their costs.



12 Liquidity

12.1 For the financial year ended 31 December 2019, the average current ratio for the industry stood at 110% indicating the availability of adequate liquid assets to cover current liabilities.

12.2 For the financial year ending 31 December 2019, liquid assets comprising cash, money markets and prescribed assets for the life assurance industry amounted to ZWL\$1.9 billion, constituting 13.8% of the total asset base of ZWL\$13.7billion.

12.3 It is critical for life assurers to keep adequate liquid assets to cover their liabilities mainly in the form of claims as they fall due.

12.4 The timing of claims which form the bulk of life assurers' liabilities is uncertain and therefore industry players should keep adequate liquidity to cover them as and when they arise.



13 Market share

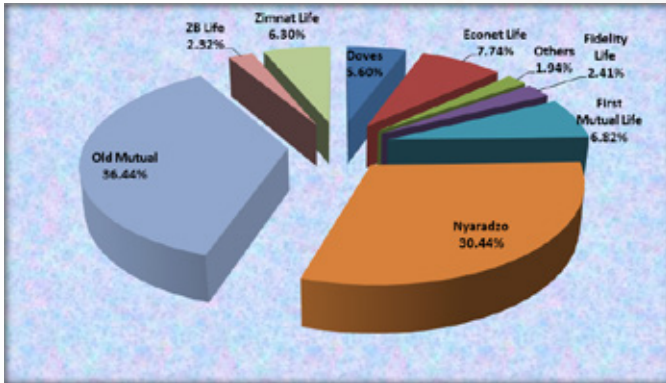
Market share in terms of GPW

13.1 Market share in terms of GPW for the life assurance industry continued to be dominated by two players, with a combined market share of 67% for the year ended 31 December 2019.

13.2 The remaining entities shared the remaining 33% of the market share.

13.3 Figure 12 on the next page shows market share of gross written premium for the year ended 31 December 2019.

Figure 12: Market share by GPW



*"Others" comprise CBZ Life, Heritage Life Nhaka Life and Evolution Life

Market share in terms of total assets

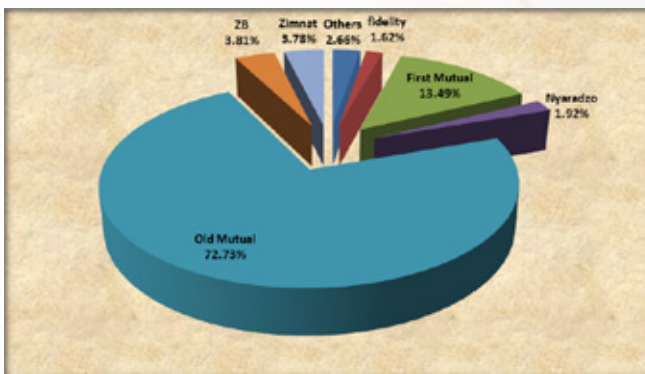
13.4 As at 31 December 2019, the asset base of the life assurance industry continued to be concentrated in two entity controlling 86.22% of the industry's total assets.

13.5 The remaining players controlled 13.78% of the industry total assets.

13.6

Figure 13 below shows market share of the industry by assets.

Figure 13: Market share by assets



*"Others" comprise of Heritage, Nhaka, Evolution, Econet, CBZ and Doves



Section C

Life Reassurance Business



All reinsurers are registered as composite reinsurers meaning that they are authorised to reinsure both life and non-life business however, the statistics presented in this section of the report pertain to the composite reinsurers' life assurance business only except for the capital positions which comprises of both life and nonlife business.

Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution.

The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

14 Performance in Terms of Business Written

14.1 For the year ended 31 December 2019, life reinsurers reported an increase in total GPW of 143% from ZWL\$9.1 million reported for the year ended 31

December 2018 to ZWL\$22.2 million. (See table below).

Table 9: Breakdown of GPW by life reinsurers

Name Of Company	Dec 2018(000)		Dec 2019(000)		Growth	
	GPW	NPW	GPW	NPW	GPW%	NPW%
Emeritus Re	4,060	3,607	12,447	7,873	207%	118%
FBC Re	842	609	4,206	3,084	400%	406%
FM RE	2,600	2,211	3,243	2,514	25%	14%
Grand Re	0	0	0	0	0%	0%
Zep Re	1,614	1,581	2,268	2,243	41%	42%
Total	9,116	8,008	22,164	15,714	143%	96%

14.2 The life reinsurance players recorded a growth in GPW ranging from 25% to 400% for the year ended 31 December 2019. Grand Re did not write any life reinsurance business for the period under review.

GPW by business class

14.3 For the financial year ending 31 December 2019, recurring business was a major portion constituting 93.3% of total GPW (see Table 10 on the next page).

14.4 The decrease in new business as a proportion of GPW, might be as a result of inflationary pressures which have eroded the purchasing power of the disposable income of consumers thereby reducing number of people buying new policies.

Table 10: GPW by class of business 2019

Co. Name	Individual Life (000)		Corporate Business (000)		Total Gross Premiums (000)
	New Business	Recurring Business	New Business	Recurring Business	
Emeritus Re	110	865	1070	10,401	12,446
FBC Re	4	120	19	4063	4,206
FM Re	108	660	0	2475	3,243
Grand Re	0	0	0	0	0
Zep Re	172	0	0	2097	2,269
TOTAL	394	1,645	1089	19,036	22,164



15 Reassurance

15.1 As at 31 December 2019, reinsurance industry retained 71% of the total life reinsurance business down from 88% reported in the previous reporting period.

15.2 The remaining 29% which amounted to ZWL\$6.5 million was ceded to retrocessionnaires.



16 Capitalisation

16.1 The required minimum capital requirement for composite reinsurers is ZWL\$10 million as per Statutory Instrument 95 of 2017.

16.2 In terms of the above SI four Life reinsurers were compliant with the minimum capital levels as at 31 December 2019 and only one Life

reassurer reported a capital position that was not compliant with the minimum capital levels (see table 11 below).

Table 11: Capitalisation of Life Reassurers

Company	Dec-18	Mar-19	Jun-19	Sep-19	Dec-19
	\$(000)	\$(000)	\$(000)	\$(000)	\$(000)
1. Emeritus Re	46,631	53,767	67,174	106,578	96,891
2. FBC Re	29,431	53,556	49,917	55,343	166,013
3. FM Re	12,001	8,330	11,521	21,844	29,613
4. Grand Re	10,297	18,262	-101	-106	76,029
5. Zep Re**	7,650	9,230	2,918	144,224	172,127
Total	106,010	143,145	131,429	327,883	540,673

*The capital levels in the table above include capital supporting non-life business

16.3 Compliance with minimum capital levels is a statutory requirement which all reinsurers should comply with.

16.4 Industry players should be geared towards meeting the new capital requirement announced by the Minister of Finance and Economic Development.

16.5 Adequate capitalisation is a critical aspect in the protection of policyholders and maintenance of industry stability.



17 Asset Quality

17.1 Life reinsurers reported an asset base of ZWL\$94.9 million in respect of life business as at 31 December 2019 representing growth of 101% from an asset base of ZWL\$190.8 million reported as at 30 September 2019.

17.2 Receivables and cash balances contributed much towards the growth in asset base.

17.3 The asset base of Life reinsurers was

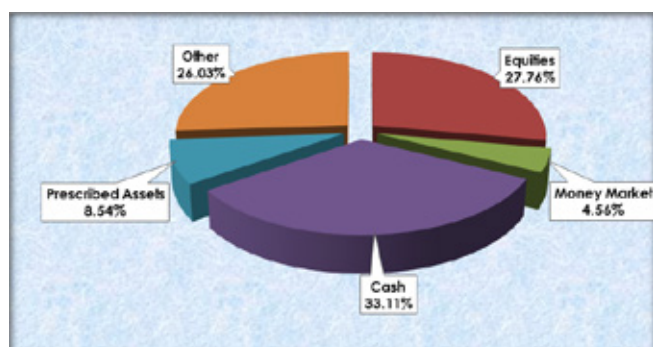
mainly composed of 3 asset classes namely, cash, equities and prescribed assets with proportions of 33.1%, 27.8% and 8.54% respectively (see Figure 14 on the next page).

17.4 In monetary terms, growth in equities was not more pronounced than growth in cash balances.

17.5 As at 31 December 2019, cash continued to constitute a moderately large portion of the asset base (see figure below).

17.6 Industry players are however encouraged to look for alternative investments that can preserve asset value in the obtaining hyper-inflationary environment in order to protect the underlying policyholder funds.

Figure 14: Breakdown of Assets.



****Other assets in consist of operating assets such as plant, property and equipment, motor vehicles, electronic equipment, inventory and prepayments.**

17.7 The reinsurance industry players had no fixed property. The Commission requires reassurers to adopt optimal investment policies that are in line with Circular 2 of 2013 on Investment guidelines.

17.8 It is also important for Life reassurers to be compliant with regulations all the time to ensure protection of policyholder funds thereby increasing public confidence in the insurance industry.

Prescribed Asset Status

17.9 Life reassurers are expected to comply with the prescribed asset ratio as this is a statutory requirement. For the financial year ending 31 December 2019, the average prescribed asset compliance level for Life reassurers under the life business was 8.54% compared to 1.47% for the nine months ending 30 September 2019.

17.10 However, none of the Life reassurers were compliant with the minimum prescribed asset ratio of 15% in respect of their life business as shown in Table 12 below.

Table 12: Prescribed Asset Ratio for Life Reassurers

Reinsurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
Baobab Re	1,080,609	24,476,980	4.41%	3,671,547	-10.6%
FBC Re	15,183,333	156,477,318	12.26%	18,572,038	-5.3%
FM Re	38,874	7,630,760	0.51%	1,144,614	-14.5%
Grand Re	-	17,249	0.00%	2,587	-15.00%
Zep Re	-	2,221,344	0.00%	333,201	-15.0%
Total	16,302,816	190,793,651	8.54%	28,619,048	-6.5%



18 Actuarial Matters

18.1 For the financial year ending 31 December 2019, life reassurers' total asset base stood at ZWL\$190.8 million, translating to a 101% increase from ZWL\$94.9 million reported for the financial year ending 31 December 2019.

18.2 Table 13 on the next page shows the life reinsurance industry assets and liabilities as at 31 December 2019

Table 13: Assets versus liabilities

Company	Current Liabilities(\$000)			Total Assets (\$000)			Total Liabilities (\$000)		
	Sep-19	Dec-19	%	Sep-19	Dec-19	%	Sep-19	Dec-19	%
Baobab Re	6,621	5,442	-18%	20,292	24,476	21%	3,442	7,471	117%
FBC Re	35,283	71,859	104%	69,006	156,447	127%	41,335	71,858	74%
FM RE	1,649	6,819	314%	5,566	7,630	37%	2,238	7,148	219%
Grand Re	2,370	73	-97%	1	19	0%	0	72	0%
Zep Re	1	785	0%	20	2,221	0%	874	785	-10%
Total	45,924	84,978	85%	94,885	190,793	101%	47,889	87,334	82%

18.3 From the above table, total asset base as at 31 December 2019 was deemed adequate to cover the technical liabilities (future policyholders' benefits, unearned premium reserves, outstanding claims reserve, incurred but not reported claims reserve and life fund reserves) of ZWL\$87.3 million.

18.4 Industry players should make sure they have reserving policies and they should also periodically review these policies to make sure they have adequate reserves to meet their future liabilities.



19 Costs and Earnings

19.1 Profit after tax for life reassurers increased significantly by 500% from ZWL\$2.0 million for the twelve months ended 31 December 2018 to ZWL\$12.2 million reported as at 31 December 2019.

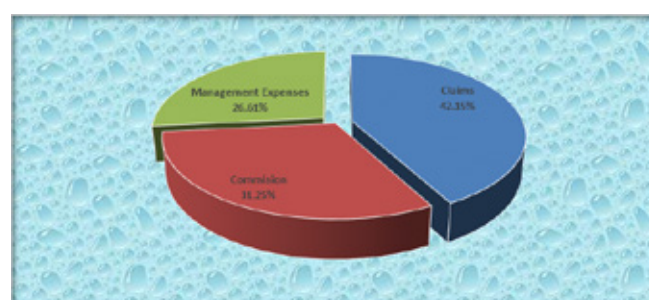
19.2 The increase in profit was mainly driven by fair value in adjustments of equities on the Zimbabwe Stock Exchange continued to increase as at 31 December 2019.

19.3 As at 31 December 2019, total costs for the Life reassurers increased by 105% from ZWL\$6.9 million reported as at 31

December 2018 to ZWL\$14 million reported in the comparative financial year of 2018.

19.4 Claims as a proportion of total costs constituted 42% while the remaining 58% of the total costs was split between commission and management expenses at 31% and 27% respectively.

19.5 Figure 15 below shows the total cost breakdown.

Figure 15: Breakdown of Costs

20 Liquidity

20.1 As at 31 December 2019, the total working capital for reassurers supporting their life reinsurance business was ZWL\$103.5 million, an increase of 120%, from ZWL\$47 million reported for the nine months ending 30 September 2019.

20.2 The industry reported a current ratio of 118%. This is an indication that the industry is liquid enough to meet its obligation when then they fall due. However, industry players are encouraged to maintain an optimum level of liquidity without impairing the ability of the policyholder funds to earn rates of return that protect policyholder

funds against loss of value.

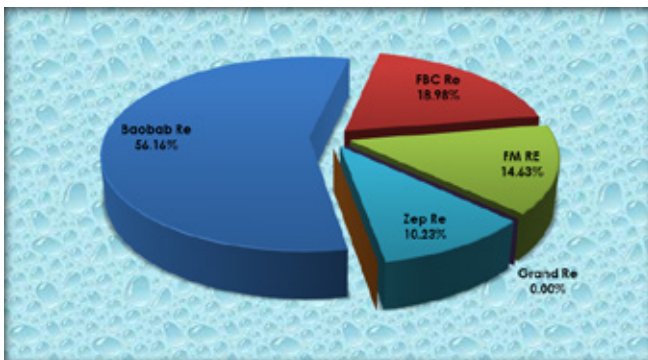


21 Market Share

Market Share of Life Reinsurers by GPW

21.1 Baobab Re dominated the market share by GPW with a 51.2% whilst other players commanded a 48.8% for the period ended 31 December 2019. However, Grand Re did not write any life reinsurance business for the period under review (see Figure 16 below).

Figure 16: Market Share of Life Reinsurers by GPW

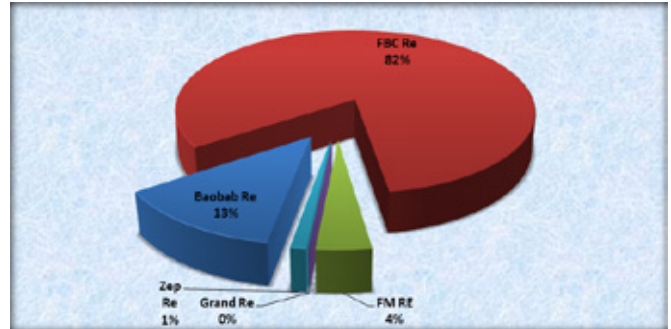


Market Share in Terms of Assets

21.2 During the financial year ended 31 December 2019, reported total assets for the industry amounted to ZWL\$190.8 million.

21.3 The assets were concentrated in one player (FBC Re) with a market share of 82%. The other four reinsurers, shared the remaining 18% assets (see Figure 17 below)

Figure 17: Market Share in Terms of Assets





Annexures

Annexure 1: Statement of Comprehensive Income for Life Assurers for the period ended 31 December 2019 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	13,861	52,950	73,191	1,282	22,794	64,475	2,345	898	287,951	344,723	21,939	59,608	946,017
Reinsurance Premiums	406	-	1,124	4	1,439	581	56	7	-	6,415	1,012	4,245	15,289
Net Written Premiums	13,455	52,950	72,067	1,278	21,355	63,894	2,289	891	287,951	338,308	20,927	55,363	930,728
Increase/(Decrease) in UPR	465	-	-	10	-	-	-	-	-	-	-	-	475
Net Earned Premiums	12,990	52,950	72,067	1,268	21,355	63,894	2,289	891	287,951	338,308	20,927	55,363	930,253
Transfer to IBNR	251	5,295	4,301	62	-	404	122	-	-	-	-	573	11,008
Claims paid	2,074	17,658	23,884	278	7,496	21,167	250	101	127,710	192,019	9,000	18,842	-
Outstanding claims	1,172	-	-	-	-	-	5	-	54,936	-	(91)	(978)	55,044
Net claims	3,497	22,953	28,185	340	7,496	21,571	377	101	182,646	192,019	8,909	18,437	486,531
Net Commission Incurred	858	3,823	-	294	809	2,332	198	36	17,038	2,394	3,451	5,141	36,374
Technical Result	8,635	26,174	43,882	634	13,050	39,587	1,714	754	88,267	143,895	8,658	31,785	407,035
Operating Expenses	11,558	20,696	463	674	9,765	42,458	-	944	-	81,668	16,464	15,572	200,262
Underwriting Result	(2,923)	5,478	43,419	(40)	3,285	(2,871)	1,714	(190)	88,267	62,227	(7,806)	16,213	206,773
Management expenses	-	-	1,841	-	-	-	2,082	-	64,833	-	-	-	68,756
Investment Income	6,019	-	50,340	-	106,257	1,527,563	-	77	1,258	6,773,736	3,204	348,977	8,817,431
Unrealised Gains/Losses	-	-	-	-	-	-	6,468	-	-	-	-	-	6,468
Other expenses	1	-	35,655	117	602	9,637	-	46	10,643	-	-	3,054	59,755
Other Income	54,661	22,795	-	-	492	44,044	4,126	400	36,157	80,842	403,476	-	646,993
Profit Before Tax	57,756	28,273	56,263	(157)	109,432	1,559,099	10,226	241	50,206	6,916,805	398,874	362,136	9,549,154
Taxation	66	-	372	-	880	104,696	-	-	1,117	24,725	16,155	822	148,395
Profit After Tax	57,690	28,273	55,891	(157)	108,552	1,454,403	10,226	241	49,089	6,892,080	382,719	361,314	9,400,759
Transfer to policyholders funds	-	-	-	2	(18,246)	710,930	-	-	-	6,400,665	178,829	270,523	7,542,703
Dividends	-	-	-	-	29,325	644,574	-	-	-	-	-	-	673,899
Retained Income	57,690	28,273	55,891	(159)	156,123	98,899	10,226	241	49,089	491,415	203,890	90,791	1,242,369

Annexure 2: Statement of Financial position for Life Assurers as at 31 December 2019 (000)

ASSETS	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Non-Current Assets													
Intangible assets	119,352		90,837	77,167							1,723,938	90,248	2,101,542
Property and equipment	26,678,509	8,589,354	9,193,737	3,727,138	33,257,877	13,584,984	705,899	41,837	53,552,575	13,699,963	544,122	5,261,927	168,837,922
Investment property	71,577,847	39,432,350	38,438,860	11,222,413	104,252,436	1,537,076,090	6,708,000	635,869	4,320,511	4,420,410,487	41,590,116	319,384,650	6,595,049,629
Investments and securities	4,807,295			34,666,339	22,816,242	-	4,959,697	95,807	2,515,977	38,837,201	95,837,201	119,218,348	323,754,375
Investment assets	4,280,478	2,518,811	5,682,020	99,844		220,797,302			4,740,007	4,942,425,883	1,052,371		5,181,596,716
Investments in Associated Companies											364,786,117		
Other Non-Current Assets					12,342,070	5,801,132	440,000	4,967	68,137,294	220,752,314	10,117,258		317,595,035
Total Non-Current Assets	107,463,481	50,540,515	53,405,454	49,792,901	172,668,625	1,777,259,508	12,813,596	778,480	133,266,364	9,636,125,848	515,651,391	443,955,173	12,953,721,336
Technical Assets													
Reinsurers' Share of O/S Claims													
Deferred Acquisition Cost (DAC)													
Total Technical Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Current Assets													
Cash & bank balances	2,050,014	2,892,639	14,421,598	12,947	4,206,815	28,776,580	28,725	378,450	35,642,377	242,051,195	187,620	12,693,967	343,342,927
Short term investments	6,437,019	19,733	41,114,200		1,467,890	14,645,104		280,112	8,505,093	45,345,634	2,468,553	36,262,882	156,546,220
Other investments													
Premium Receivables	754,428	162,919	2,227,277	20,245	13,292,426	21,606,059	297,125	145,398	30,655,148	11,791,308	1,955,456	20,554,221	103,462,010
Intercompany Investments		11,293,155		604,191									11,897,346
Other current assets	862,468	4,151,417		1,985	30,280,838	1,864,827	123,437	1,732	54,369,035	7,717,199		3,774,231	103,147,169
Total Current Assets	10,103,929	18,519,863	57,763,075	639,368	49,247,969	66,892,570	449,287	805,692	129,171,653	306,905,336	4,611,629	73,285,301	718,395,672
TOTAL ASSETS	117,567,410	69,060,378	111,168,529	50,432,269	221,916,594	1,844,152,078	13,262,883	1,584,172	262,438,017	9,943,031,184	520,263,020	517,240,474	13,672,117,008
Liabilities													
Deferred Tax Liabilities		827,665		6,874					2,533,307				2,540,181
Future policyholders benefits	3,408,281			369,944	104,729,781	881,104,970		202,510	129,387,006	8,736,312,654	238,298,062	328,180,968	9,436,159,425
Short term loans		1,602,524				8,279,029							
Long term Loans		1,776,019			34,595,541				1,231,959	81,048,498		1,173,589	83,454,046
Current Tax provisions										137,164,357	891,338		138,055,695
Gross Outstanding Claims	1,036,398			97,129	1,131,401	2,173,537	5,146			7,043,208	340,995	2,279,609	14,107,423
IBNR	716,539		5,262,980	122,161		649,949	151,133					794,709	7,697,471
UPR	1,560,600		329,013	88,808			592		17,809,778			1,639,922	21,428,713
Creditors		232,954				15,549,645				32,436,013		648,626	33,084,639
Amount due to reinsurers			207,910	44,058									251,968
Other Liabilities	4,508,991	12,916,343	25,440,106	500,302	75,535,151	117,985,174	1,834,989	334,624	49,967,865		27,095,134	65,175,049	381,293,728
Total Liabilities	11,230,810	17,355,505	31,240,009	1,229,276	215,991,874	1,025,742,304	1,991,860	537,134	200,929,915	8,994,004,730	266,625,529	399,892,472	11,149,415,913
SHAREHOLDERS' EQUITY													
Share Capital	2	1,000,000	100	37	1,092,059	500	20,000	1,680,000	400,000		231,908	200,000	4,756,450
Share Premium	1,388,012		5,685,251	2,127,701	671,409	2,606,200	4,602,425			29,990,000	4,431,623	450,000	51,952,621
Revaluation & Other Reserves	28,870,023	3,276,075	2,762,918	44,216,602	3,798,647	(19,982)		1,163,731	6,731,094	33,764,276	41,002,794	2,478,697	168,044,875
Treasury shares					(10,037)								(10,037)
Prior years earnings	18,388,257	19,156,105	15,389,514	3,017,419	(2,553,083)	17,810,649	6,648,598	(2,129,049)	5,287,267	393,724,183	4,170,648	23,431,192	502,341,700
Current year retained	57,690,305	28,272,693	56,090,737	(158,768)	2,925,725	645,843,749		332,357	49,089,738	491,416,150	203,800,521	90,788,114	1,626,091,321
Minority interest						152,168,659							152,168,659
Shareholders's Equity	106,336,600	51,704,873	79,928,520	49,202,991	5,924,720	818,409,775	11,271,023	1,047,039	61,508,099	949,026,453	253,637,494	117,348,003	2,505,345,590
TOTAL EQUITY & LIABILITIES	117,567,410	69,060,378	111,168,529	50,432,267	221,916,594	1,844,152,079	13,262,883	1,584,173	262,438,014	9,943,031,183	520,263,023	517,240,475	13,672,117,008

Annexure 3: Cost and Earnings analysis for the Life Assurance Industry

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth	Dec-18	Dec-19	Growth
CBZ	10,756	13,455	25%	3,053	3,497	15%	907	858	-5%	3,425	11,557	237%	7,385	15,912	115%	69%	118%	72%
Doves	0	52,949	0%	0	22,953	0%	0	3,823	0%	0	15,478	0%	0	42,254	0%	0%	80%	0%
Econet	18,318	72,066	293%	9,224	28,185	206%	0	0	0%	863	1,841	113%	10,087	30,026	198%	55%	42%	-24%
Evolution	662	1,278	93%	100	339	239%	148	294	99%	266	675	154%	514	1,308	154%	78%	102%	32%
Fidelity	14,714	21,355	45%	5,999	7,496	25%	597	809	36%	5,889	9,765	66%	12,485	18,070	45%	85%	85%	0%
First Mutual	42,986	63,893	49%	14,902	21,570	45%	1,752	2,332	33%	17,995	42,458	136%	34,649	66,360	92%	81%	104%	29%
Nhaka	2,122	2,289	8%	202	376	86%	270	198	-27%	1,304	2,082	60%	1,776	2,656	50%	84%	116%	39%
Heritage	841	891	6%	121	101	-17%	54	36	-33%	749	944	26%	924	1,081	17%	110%	121%	10%
Nyaradzo	108,398	287,951	166%	30,710	182,646	495%	8,827	17,038	93%	37,883	64,833	71%	77,420	264,517	242%	71%	92%	29%
Old Mutual	182,223	338,308	86%	104,315	192,019	84%	2,117	2,394	13%	17,984	81,668	354%	124,416	276,081	122%	68%	82%	20%
ZB	13,037	20,927	61%	5,227	8,909	70%	1,957	6,451	230%	4,405	15,956	262%	11,589	31,316	170%	89%	150%	68%
Zimnat	25,691	59,608	132%	8,004	18,438	130%	2,479	5,141	107%	9,300	2,918	-69%	19,783	26,497	34%	77%	44%	-42%
Total	419,748	934,970	123%	181,857	486,529	168%	19,108	39,374	106%	100,063	250,175	150%	301,028	776,078	158%	72%	83%	11%

Annexure 4: Assets breakdown for the Life Assurance Industry as at 31 December 2019

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Sep-19	Dec-19	Var	Sep-19	Dec-19	Var	Sep-19	Dec-19	Var	Sep-19	Dec-19	Var	Sep-19	Dec-19	Var	Sep-19	Dec-19	Var	Sep-19	Dec-19	Growth
CBZ	94,219	94,140	0%	10,356	4,807	-54%	4,039	6,437	59%	807	2,050	154%	3,134	5,852	87%	3,481	4,280	23%	116,036	117,566	1.32%
Doves	7,756	8,589	11%	2,388	2,518	5%	-	-	0%	313	2,893	824%	47,918	55,039	15%	20	19	-5%	0	69,058	0.00%
Econet	27,653		-100%	39,529	39,450	0%	882	1,611	83%	5,700	14,421	153%	11,584	50,237	334%	5,421	5,446	0%	90,769	111,165	22.47%
Evolution	156	11,222	7094%	3,563	34,666	873%	-	-	0%	57	12	-79%	4,858	4,408	-9%	100	124	24%	8,734	50,432	477.42%
fidelity	137,692	139,222	1%	39,896	48,883	23%	2,372	663	-72%	6,433	4,206	-35%	15,997	13,569	-15%	15,370	15,369	0%	217,780	221,912	1.90%
First Mutual	578,745	1,550,660	168%	-	206,690	0%	-	14,645	0%	-	28,776	0%	-	29,272	0%	100,310	14,107	-86%	679,055	1,844,150	171.58%
Getsure	4,263	6,708	57%	-	-	0%	2,510		-100%	531	28	-95%	2,268	6,086	168%	524	440	-16%	10,096	13,262	31.36%
Heritage	34	41	21%	731	731	0%	118	130	10%	100	378	278%	324	152	-53%	-	150	0%	1,307	1,582	21.04%
Nyaradzo	94,384	121,689	29%	8,262	7,255	-12%	1,938	2,904	50%	21,016	35,642	70%	67,433	89,344	32%	8,421	5,600	-33%	201,454	262,434	30.27%
Old Mutual	3,928,442	4,593,984	17%	3,413,534	3,648,600	7%	24,511	34,863	42%	120,838	242,051	100%	164,334	53,187	-68%	1,290,181	1,370,342	6%	8,941,840	9,943,027	11.20%
ZB	8,357	41,590	398%	40,194	95,837	138%	1,839	2,468	34%	507	187	-63%	79,533	376,297	373%	3,278	3,881	18%	133,708	520,260	289.10%
Zimnat	144,947	319,384	120%	80,205	79,920	0%	39,505	58,174	47%	7,012	12,693	81%	24,157	39,079	62%	11,683	7,986	-32%	307,509	517,236	68.20%
Total	5,026,648	6,887,229	37%	3,638,658	4,169,357	14.59%	77,714	121,895	57%	163,334	343,337	110%	421,540	722,522	71%	1,438,789	1,427,744	-1%	10,766,683	13,672,084	26.99%

Annexure 5: Industry assets base of the Life Assurance Industry as at 31 December 2019

Company	Current Assets (\$'000)		Current Liabilities		Total Assets (\$'000)		Total Liabilities (\$'000)		Capital (Net Assets) (\$'000)		Capital to liability Ratio (%)		Current Ratio (%)	
	Sep-19	Dec-19	%	Sep-19	Dec-19	%	Sep-19	Dec-19	%	Dec-19	%	Sep-19	Dec-19	%
CBZ	5,846	10,103	73%	7099	6262	-12%	116,036	117,567	1%	10,121	11,230	11%	106,337	402%
Doves	8,818	18,519	0%	2968	15580	0%	58,395	69,060	0%	13,662	17,355	0%	51,705	0%
Econet	49,088	57,763	18%	24,562	31,240	27%	90,769	111,168	22%	24,562	31,240	27%	79,928	236%
Evolution	559	639	14%	426	860	102%	8,735	50,432	477%	796	1,229	54%	49,203	1450%
Fidelity	43,183	49,247	14%	65,686	76,673	17%	217,780	221,916	2%	210,843	215,999	2%	5,917	100%
First Mutual	48,681	66,892	37%	73,541	144,637	97%	679,055	1,844,152	172%	452,763	1,025,742	127%	76,643	968%
Nhaka	2,681	449	-83%	2,157	1,992	-8%	10,096	13,262	31%	2,157	1,991	-8%	5,265	114%
Heritage	537	805	50%	339	335	-1%	1,307	1,584	21%	473	537	14%	706	48%
Nyaradzo	94,487	129,171	37%	27799	71543	157%	201,454	262,438	30%	171,901	200,929	17%	19,426	217%
Old Mutual	247,111	306,905	24%	232,089	257,692	11%	8,941,839	9,943,031	11%	7,987,310	8,994,004	13%	442,474	949,027
ZB	3,303	4,611	40%	10231	28358	177%	133,707	520,021	289%	85,368	266,625	212%	17,320	253,396
Zimnat	38,002	73,285	93%	37730	20513	-46%	307,508	517,240	68%	247,520	399,892	62%	28,378	314%
Total	542,296	718,389	32%	484,627	655,685	35%	10,766,681	13,671,871	27%	9,207,476	11,166,773	21%	641,346	2,505,098



Annexure 6: Not taken up policies

Company	Number of Policies	Gross Premium \$(000)
CBZ Life	35	577
Doves Life	-	-
Econet Life	1,550	2,413
Evolution Health & Life	-	-
Fidelity Life Assurance	8,169	251,328
First Mutual Life	777	36,948
Nhaka Life Assurance	294	8,646
Heritage Life	-	-
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	76	1,790,760
ZB Life Assurance	-	-
Zimnat Life Assurance	-	-
Totals	10,901	2,090,672

Annexure 7: Lapsed policies

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporate)	Lapsed Policies (Others)	Lapse Ratio
CBZ	58,639	808	-	-	1.38%
Doves	-	-	-	-	0.00%
Econet	1,381,528	43,661	-	-	3.16%
Evolution Health	44,395	-	-	-	0.00%
Fidelity	3,127	1,995	-	-	63.80%
First Mutual	116,914	11,681	-	-	9.99%
Nhaka	1,427	188	-	-	13.17%
Heritage	-	-	-	-	0.00%
Nyaradzo	443,241	97,746	-	-	22.05%
Old Mutual	87,183	8,030	-	-	9.21%
ZB	7,220	872	-	-	12.08%
Zimnat	45,943	3,016	-	-	6.56%
Totals	2,189,617	167,997	-	-	7.67%

